



BALANCE SHEET

THE ASSET SIDE OF BALANCE SHEET:

In the previous part, we looked at the liability side of the balance sheet in detail. We will now understand the second half of the balance sheet, i.e., the asset side. The asset side shows all of the company's assets (in different forms) right from its inception.

Assets, in simple terms, are the resources held by a company which help in generating revenues.

Here is the snapshot of the asset side of the balance sheet:

Particulars	Notes	As at March 31, 2022	As at March 31, 2021
I. ASSETS			
(1) Non-current assets			
(a) Property, plant and equipment	3 (b)	80,900.13	79,640.05
(b) Capital work-in-progress	3 (c)	3,529.04	8,377.14
(c) Right of use assets	4	6,686.02	6,490.66
(d) Goodwill	5	807.17	803.72
(e) Other intangible assets	6 (b)	50,462.13	51,773.18
(f) Intangible assets under development	6 (c)	6,722.05	12,586.79
(g) Investment in equity accounted investees	9	4,349.39	4,200.79
(h) Financial assets:			
(i) Other investments	10	2,320.92	1,368.30
(ii) Finance receivables	18	11,135.85	16,846.82
(iii) Loans and advances	12	843.35	1,034.89
(iv) Other financial assets	13	5,179.49	6,197.39
(j) Deferred tax assets (net)	22	3,870.85	4,520.35
(i) Non-current tax assets (net)		1,196.79	1,003.30
(k) Other non-current assets	20	5,639.21	1,394.78
		183,642.39	196,238.16
(2) Current assets			
(a) Inventories	14	35,240.34	36,088.59
(b) Financial assets:			
(i) Other investments	11	22,709.22	19,051.19
(ii) Trade receivables	15	12,442.12	12,679.08
(iii) Cash and cash equivalents	16	38,159.01	31,700.01
(iv) Bank balances other than (iii) above	17	2,510.18	15,092.45
(v) Finance receivables	18	22,095.35	17,868.09
(vi) Loans and advances	12	1,671.93	1,610.61
(vii) Other financial assets	13	3,799.82	5,413.11
(c) Current tax assets (net)		259.84	865.31
(d) Assets classified as held-for-sale		523.85	220.80
(e) Other current assets	21	7,565.88	6,298.40
		146,977.54	146,887.64
TOTAL ASSETS		330,619.93	343,125.80

As you can see, the asset side has two main sections: non-current and current assets. Both of these sections have several line items included within. We will look into each one of these line items



[Assets](#)





NON CURRENT ASSETS

Similar to what we learned in the previous chapter, non-current assets represent the company's assets that provide economic benefits over a long period (beyond 365 days). Remember, an asset owned by a company is expected to provide economic benefits to the company over its useful life. These assets are crucial for the company's long-term operations and often include investments in infrastructure, technology, and other resources essential for sustained growth. Understanding non-current assets helps assess the company's capacity to generate future revenue and its overall financial health.

Now let's understand each subsection within it

- 1). **Property, plant and equipment:** Tangible long-term assets used in the production or supply of goods and services.
 - 2). **Capital work-in-progress:** Costs incurred for assets that are under construction or development but not yet ready for use.
 - 3). **Right of use assets:** Assets representing the right to use leased property or equipment.
 - 4). **Goodwill:** Intangible asset arising when a company acquires another company for more than the fair value of its net assets.
 - 5). **Other intangible assets:** Non-physical assets like patents, trademarks, and copyrights that provide long-term benefits.
 - 6). **Intangible assets under development:** Costs incurred for intangible assets that are still being developed.
 - 7). **Investment in equity accounted investees:** Investments in associates or joint ventures where significant influence is exercised.
 - 8). **Other investments:** Long-term investments in securities or other financial instruments not classified as equity accounted investees.
 - 9). **Finance receivables:** Amounts due from customers or borrowers under financing arrangements.
 - 10). **Loans:** Long-term loans granted to other entities.
- Other financial assets:** Various long-term financial assets not included elsewhere, such as security deposits or long-term receivables.
- 11). **Deferred tax assets (net):** Future tax benefits arising from temporary differences between accounting and tax treatments.
 - 12). **Non-current tax assets (net):** Tax refunds or credits expected to be received in future periods.
 - 13). **Other non-current assets:** Long-term assets not included in the above categories, such as long-term prepaid expenses or advances.





(1)	Non-current assets			
(a)	Property, plant and equipment	3 (b)	80,900.13	79,640.05
(b)	Capital work-in-progress	3 (c)	3,529.04	8,377.14
(c)	Right of use assets	4	6,686.02	6,490.66
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(k)	Other non-current assets	20	5,639.21	1,394.78
			183,642.39	196,238.16



Non Current Assets



CURRENT ASSETS

Similar to what we learned in the previous chapter, non-current assets represent the Current assets are assets that can be easily converted into cash within a year or the operating cycle, whichever is longer. These assets are crucial for funding a company's day-to-day operations and ongoing expenses. These assets are essential for maintaining liquidity and ensuring the company can meet its short-term financial obligations promptly. Tracking and managing current assets effectively is vital for managing cash flow and operational stability

		183,642.39	196,238.16
(2) Current assets			
(a) Inventories	14	35,240.34	36,088.59
(b) Financial assets:			
(i) Other investments	11	22,709.22	19,051.19
(ii) Trade receivables	15	12,442.12	12,679.08
(iii) Cash and cash equivalents	16	38,159.01	31,700.01
(iv) Bank balances other than (iii) above	17	2,510.18	15,092.45
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(vi) Loans and advances	12	1,671.93	1,610.61
(vii) Other financial assets	13	3,799.82	5,413.11
(c) Current tax assets (net)		259.84	865.31
(d) Assets classified as held-for-sale		523.85	220.80
(e) Other current assets	21	7,565.88	6,298.40

- 1) Inventories: Goods held by the company for sale or raw materials used in production.
- 2) Investments: Funds invested by the company in securities or other financial instruments.
- 3) Trade receivables: Amounts owed to the company by customers for goods or services provided on credit.
- 4) Cash and cash equivalents: Cash on hand and other assets that are readily convertible into cash.
- 5) Bank balances other than (iii) above: Balances in bank accounts not classified as cash and cash equivalents.
- 6) Finance receivables: Amounts due from customers or borrowers under financing arrangements.
- 7) Loans: Amounts lent to other parties, expected to be recovered within a short period.
- 8) Other financial assets: Various other short-term financial assets not classified elsewhere, such as short-term investments.
- 9) Current tax assets (net): Tax refunds or credits expected to be received in the current year.
- 10) Other current assets: Miscellaneous assets not included in the above categories, such as prepaid expenses or advances.





Current Assets Example



Current vs Non Current
Assets

ASSETS CLASSIFIED AS HELD FOR SALE:

Assets classified as held-for-sale are those that a company intends to sell in the near future rather than continuing to use in its operations. They are reported separately on the balance sheet at their estimated fair value less costs to sell and are no longer depreciated.

$$\text{Asset} = \text{Shareholders' Funds} + \text{Liabilities}$$

